

Multiple Choice (10 marks)

1. This is a part of the communication process where the sender selects a combination of appropriate words, pictures, symbols, and music to represent a message to be transmitted:
 - (a) Feedback.
 - (b) Message formulation.
 - (c) Channel.
 - (d) Transmission.
 - (e) Reception.
2. Mr. Smith wishes to find out how much interest he will receive on \$300 if the rate is 3% compounded annually for three years.
 - (a) \$24.93
 - (b) \$30.82
 - (c) \$27.82
 - (d) \$22.45
 - (e) \$28.90
3. John's \$200 earns interest at the rate of 5% for one year, compounded quarterly. Show how he would calculate the interest without the aid of a formula or a table.
 - (a) \$10.00
 - (b) \$20.00
 - (c) \$5.00
 - (d) \$8.75
 - (e) \$15.25
4. James Milford spent 348.88 *forteathisyear.Theteasellsfor.98* a kilogram (kilo), how many kilos did Milford purchase?
 - (a) 370 kilos
 - (b) 380 kilos
 - (c) 345 kilos
 - (d) 375 kilos
 - (e) 400 kilos

5. What is the net cost of a tape recorder whose list price is \$32 and on which the discount rate is 30%?
- (a) \$20.00
 - (b) \$30.00
 - (c) \$18.40
 - (d) \$24.00
 - (e) \$32.00

True / False (10 marks)

Answer True or False

- 6. True or False: Barnes and Sons, Co. was entitled to a full refund of \$130 since the policy was canceled before the annual term ended.
- 7. True or False: Business ethics management involves the formal and informal management of ethical issues through specific policies and programs.
- 8. True or False: The target market is not considered a traditional element of the marketing mix, which includes product, price, place, and promotion.
- 9. True or False: The chief executive unit is primarily tasked with making purchasing decisions within an organization.
- 10. True or False: Direct mail campaigns primarily focus on building long-term relationships rather than attracting buyers in a collective setting.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Calculate the premium for a 15-day insurance policy on furniture valued at 1,500, *given an annual rate of* per \$100. Discuss your calculation process and its implications in risk management.
- 12. Discuss the key streams identified by March (1988) in decision making within highly ambiguous environments, highlighting the elements that do not contribute to this framework.

End of Paper